

Then another investor called Nancy comes into the scene. Nancy thinks the stock is actually worth \$15, lower than what Rita has paid. Nancy offers to buy the lemonade stand stock off Rita for \$15. Rita doesn't have to say yes, but the idea that she's holding onto something that she may have overpaid for scares Rita and causes her to panic-sell it to Nancy. Nancy now owns the stock for \$15 and Rita has lost \$5 on her investment.

This buying and selling of my lemonade stock between investors is what the stock market is. That's it. (We get into more of the finer details, such as why stock prices move, in [chapter 7](#).)

The stock market is just a facilitator that allows people to buy and sell shares amongst each other. It's like eBay, where on one side is someone trying to purchase the product and on the other side is the seller trying to sell the product, only in the stock market the 'product' is shares. It really is that simple. (If you'd like a more technical explanation, the stock market is a group of exchanges where the buying, selling and issuance of stocks — as in, creating stocks — occurs.)

I cannot even begin to explain to you how angry I got when I finally understood what the stock market was.

For so many years it came across as this big scary beast that was too technical for me to understand. And yet now a lecturer is telling me the stock market is just eBay for shares of companies? Are you freaking kidding me? Unfortunately, no jokes were being made. I learned this in uni, but not everyone gets told the truth as early as I did. It frustrates me how many of us go around completely unaware of how simple the concepts behind growing our wealth are, and how largely inaccessible this information has been.

Tulips and the world's first IPO

Long before Twitter went public, the world's first modern IPO occurred in March 1602. The company was the Dutch East India Company (or alternatively VOC, short for its Dutch name, *Vereenigde Oost-Indische Compagnie*). It was part of a movement of exploration around the world, and at the time, this company was worth more than some of today's largest companies, like Apple, Google and Facebook, combined. When you